or chase last year's winners. Third, young people need to realize early that investment costs matter. Every dollar wasted on exorbitant mutual fund fees and high brokerage commissions is money down the drain. A consistent pretax savings plan that is invested in a sensible asset allocation of low-cost mutual funds is an excellent way to begin accumulating wealth for the future.

Early Savers—Asset Allocation

Young investors have the advantage of abundant human capital and time. Their asset is in their future labor that they will trade off for capital assets over the next 40 years of work. They can make investment errors and not be hurt much because they do not have a lot of money invested, and they have enough time to work and replace their losses.

Investors in their twenties and thirties should have about six months of living expenses in a bank checking account or money market equivalent to cover their living expenses and possible emergencies. They might also have a short-term bond or CD account where they are putting money away for a large purchase such as a new home.

Designing a long-term asset allocation for a young person is sometimes more difficult than designing one for someone at any other time in life. On the one hand, young investors have many years ahead of them, so they should choose an aggressive allocation. On the other hand, they have the least amount of investment experience and do not know what their risk tolerance level is. Consequently, while an aggressive asset allocation may be appropriate from a time perspective, early savers should guard against being too aggressive and losing control of themselves and their portfolios in a bear market.

Young savers have a lot of time to benefit from an aggressive allocation in their long-term investment portfolio. However, investing 100 percent in stocks is probably too aggressive. There are two reasons for not having an all-stock portfolio:

1. Most people cannot handle 100 percent in stocks 100 percent of the time. The volatility of a fully invested stock portfolio is too much to stomach in a bear market, and this is true for everyone, not just early savers. There are two recent examples when this occurred. The first was after the "crash" of 1987, and the second was during the bear